

Decoding Customer Value

1-Page Executive Summary

The Bottom Line

The brand is currently operating with a severe margin leak: 43.22% of total brand revenue (\$2.65M) is entirely dependent on promotional discounting. Alarming, \$1.51M of this discounted revenue is leaking directly from the brand's premium Platinum and Gold tiers. The business is over-discounting to customers who already possess high brand affinity, trading away unit profitability for subsidized volume.

Key Data Findings

1. The Customer Value Pyramid is Top-Heavy

Revenue is heavily concentrated at the top. The top 30% of the customer base (Platinum and Gold tiers) generates a dominant 57.61% of all business revenue.

2. The "Subscription" Myth & The True ICP

Active subscriptions are not the primary driver of top-tier organic value. The brand's Ideal Customer Profile (ICP) is highly specific:

- **Demographics:** Female, averaging 38.4 years of age.
- **Behavior:** They shop manually (no subscription) during the Fall and Winter.
- **Operational Preferences:** They prioritize convenience and speed, utilizing Credit Card/Venmo and opting for Express or 2-Day Shipping.

3. Geographic Extremes

The Organic Goldmines: States like Arizona (\$2,000 LTV) and Tennessee (\$1,717 LTV) represent pure organic product-market fit with extremely low promo dependency.

The Margin Risks: States like Nevada and Missouri drive high volume, but almost half of their revenue is subsidized by coupons. Oregon and South Carolina are completely discount-addicted and act as efficiency drains.

Strategic Recommendations

To recover profit margins without triggering mass churn, the brand must transition from a reactive discounting model to a targeted retention model.

1. Execute the Promotional Sunset Plan

Do not cut promos across the board. Gradually step down, and then eliminate, percentage-based discounts for specific high-satisfaction cohorts: Platinum customers buying Clothing and Gold customers buying Accessories and Footwear. These segments demonstrate high product-market fit; they are using coupons out of trained habit, not price necessity.

2. Shift Marketing to "Organic Pull" Lookalikes

Immediately restrict aggressive top-of-funnel ad spend in discount-addicted states (OR, SC, WV). Reallocate that marketing capital to Meta and Google Ads targeting 30–45-year-old females in Arizona, Tennessee, Montana, and Illinois. Highlight premium quality and 2-Day Shipping rather than "15% off your first order".

3. Gamify the 30-Purchase Threshold

Customer tenure is the ultimate predictor of value; crossing the ~30 prior purchase threshold catapults a customer's LTV into the \$2,400–\$2,700+ range. Because premium customers prioritize time over cost, the brand must replace monetary discounts with operational perks. Implement a milestone tracker where reaching 30 purchases permanently unlocks Free 2-Day Express Shipping across all orders.
